Transform SAP Activate Q-Gates by applying SAFe PI Cadence for S/4HANA

Transforming while Performing

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Menti

Do you think S/4HANA is a pure technical migration?

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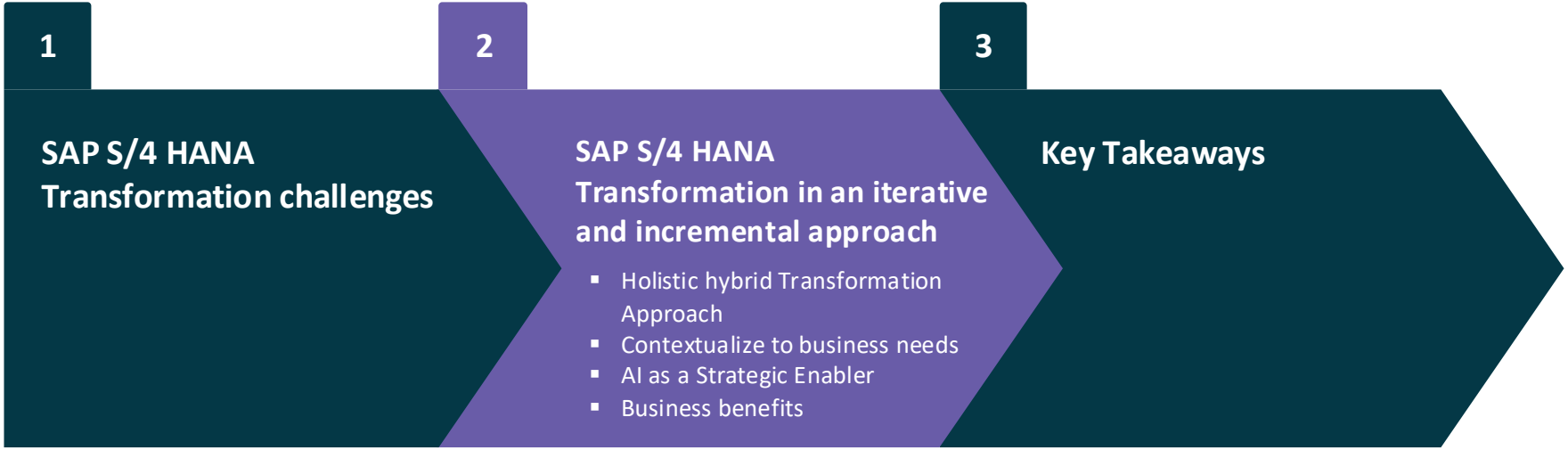
Storyline



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Every Third Large SAP Migration Fails in a Way That Makes Headlines

17K+
Organizations

Still on legacy SAP ECC

50%
Disruption Rate

S/4HANA go-lives causing operational issues

2027
Deadline

SAP ECC mainstream maintenance ends

Lidl · $600M Lost

Abandoned entire SAP implementation after 7 years. Root cause: failed fit-to-standard workshops and change management collapse. *Germany · 2011–2018*

Haribo · 25% Sales

Candy shortage left store shelves empty for months post-cutover. Supply chain modules went live before data migration was validated. USA · 2018

Revlon · $64M Stock Crash

ERP-induced inventory freeze triggered a force majeure event. Cutover was not decoupled from live business operations. USA · 2018–2019

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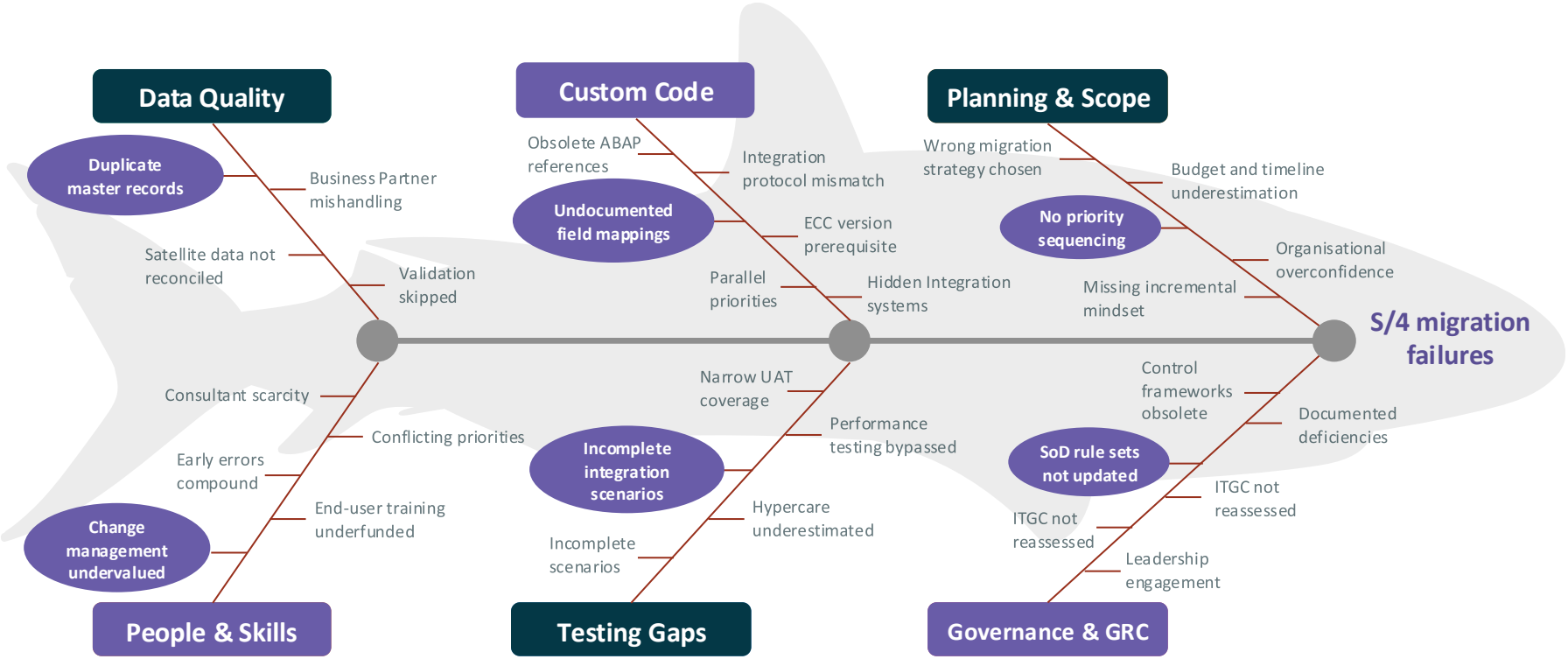
The Root Cause Analysis



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SAP S/4 HANA Transformation Challenges

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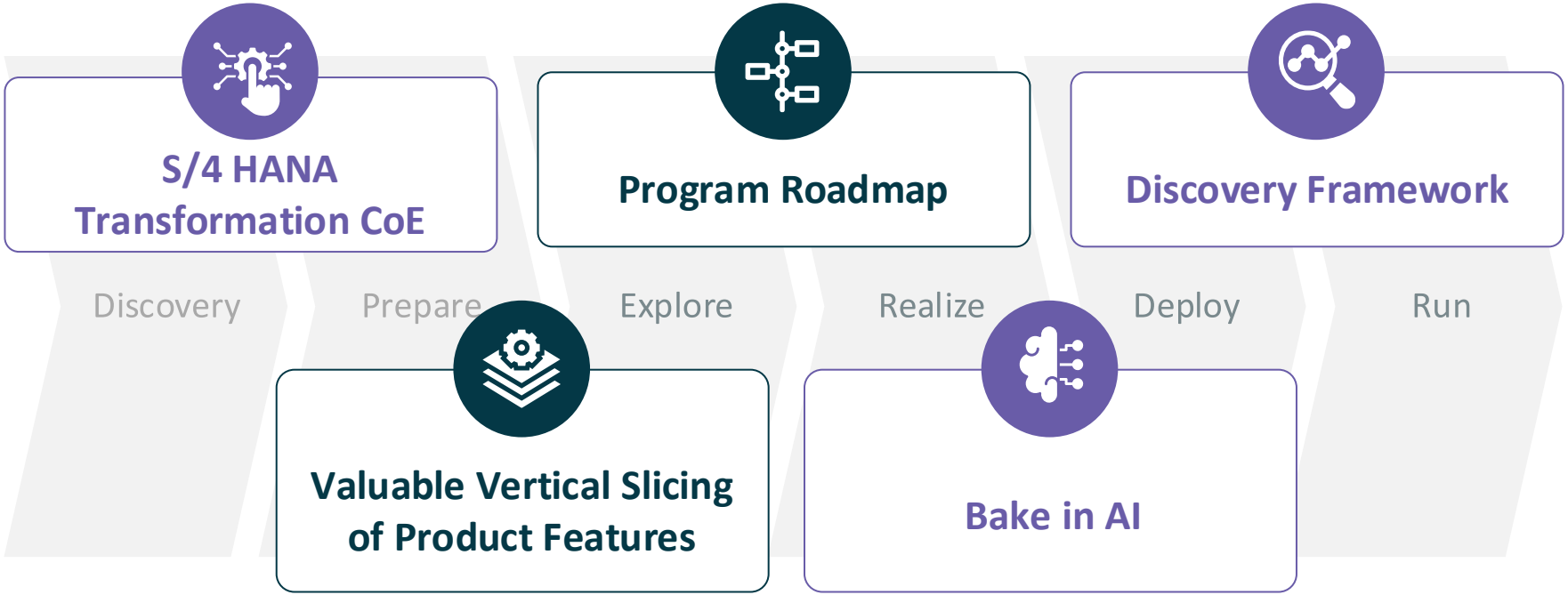
Holistic Hybrid Transformation Approach – SAFe & SAP Activate



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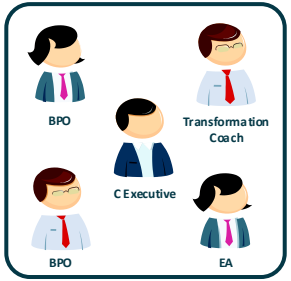
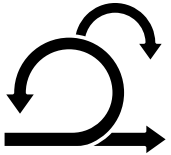
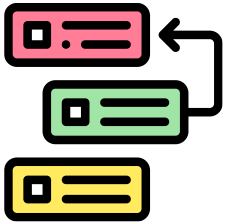
Global S/4 HANA Transformation CoE

Sustainable change demands leadership to roll up their sleeves and get into action to drive the enterprise rather than only be sponsors.



Cross functional Team



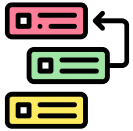


Transformation backlog

Identify Value Streams & ARTs based on Scope Definition

Program Roadmap

Discovery ART backlog



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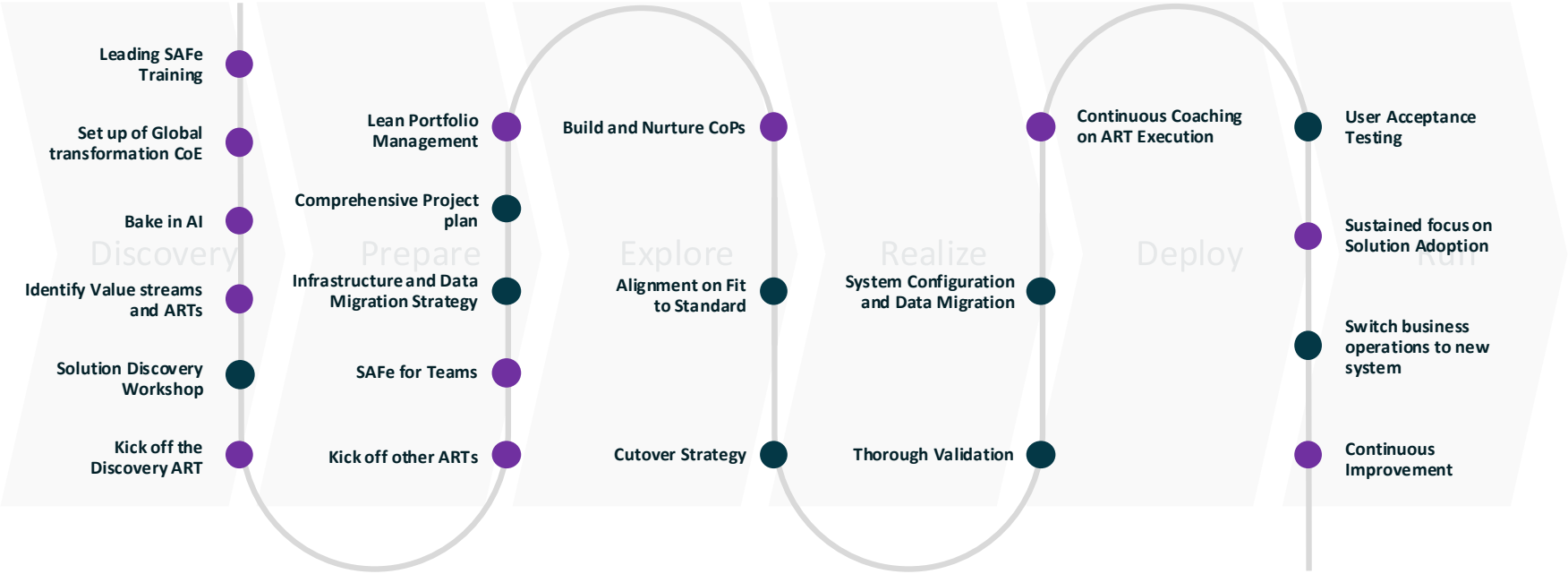
Comprehensive Program Roadmap



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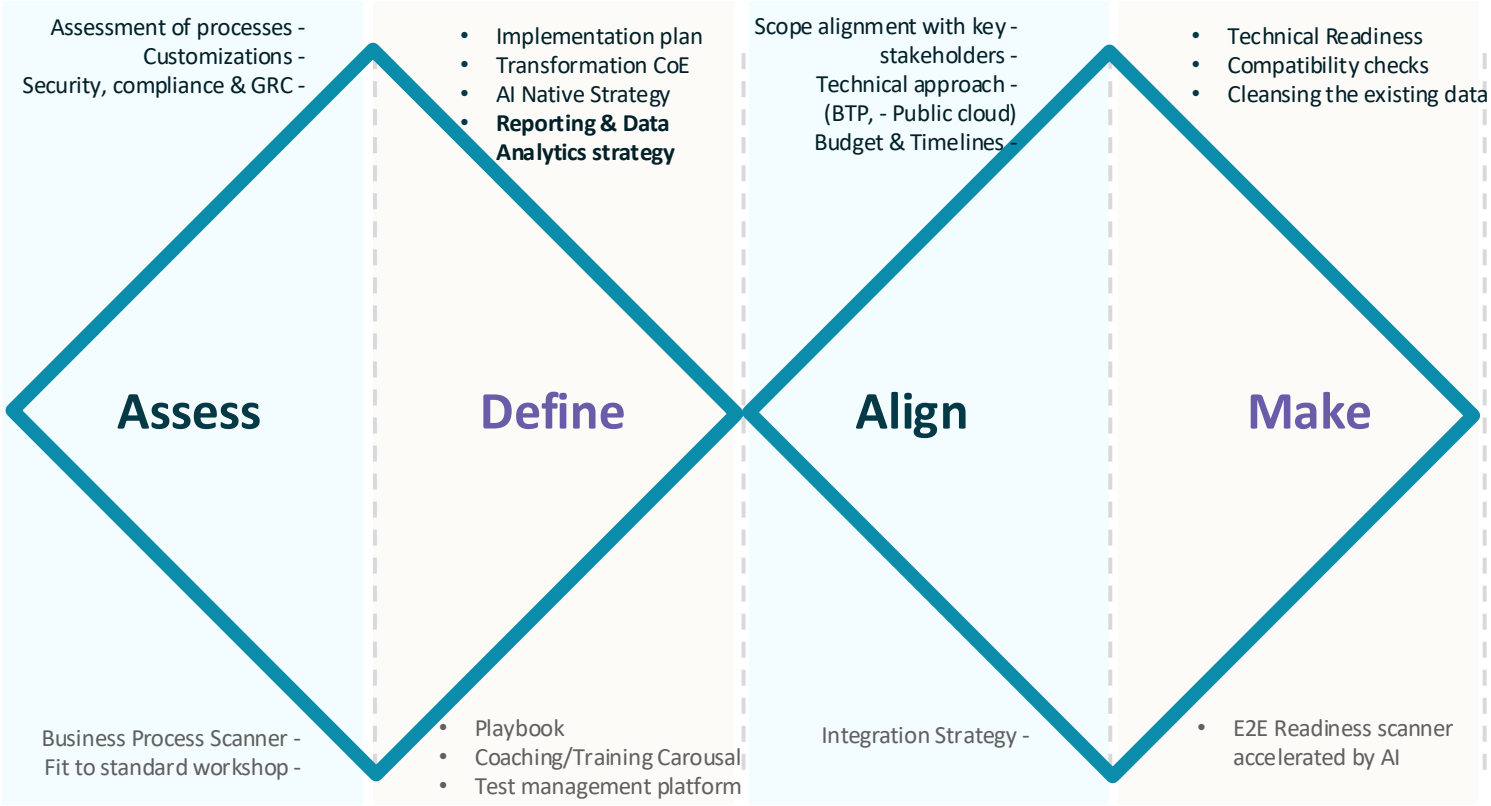
Discovery Framework - ADAM



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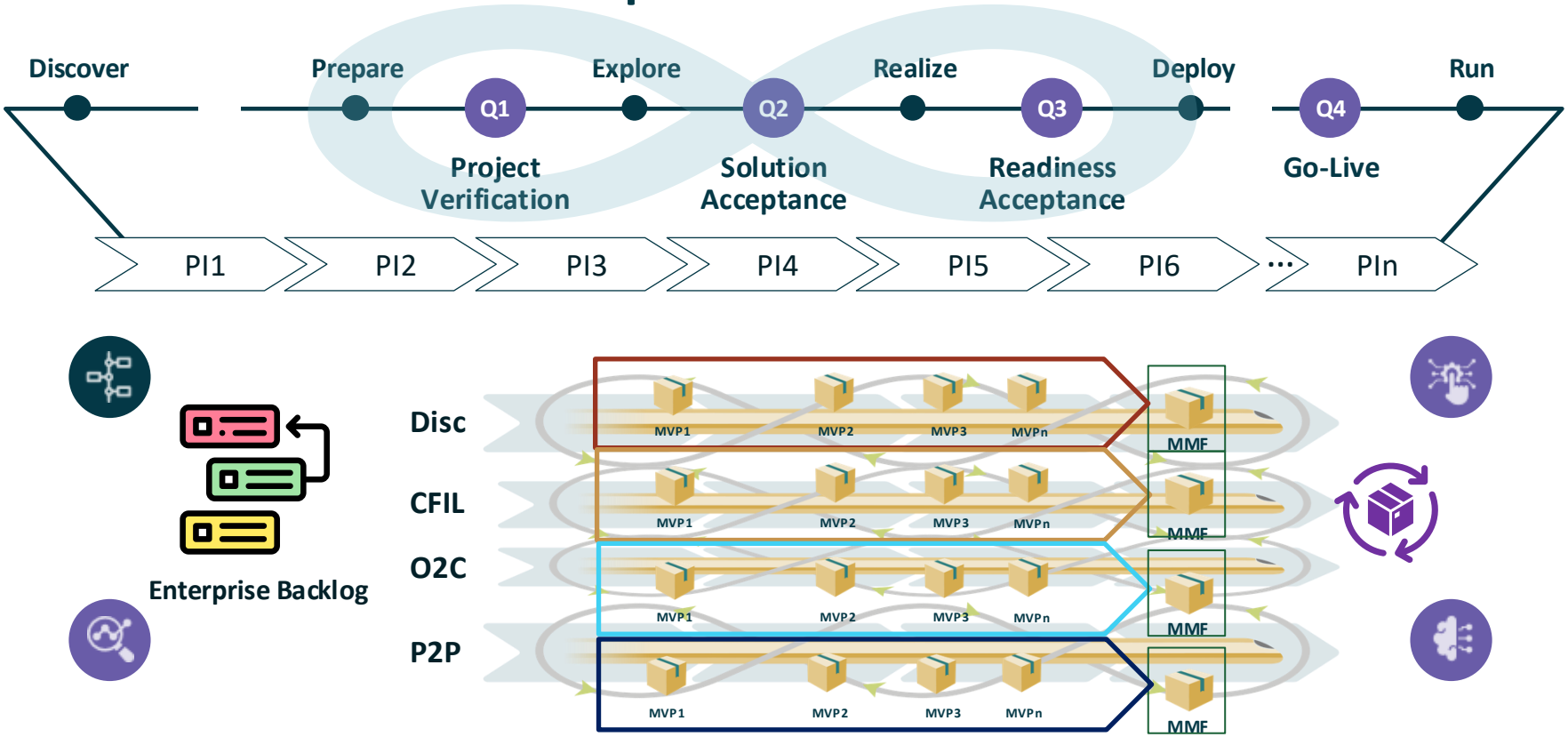
PI Cadence and Team Setup



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Structure Around Value Streams

Before · Module Silos

FI/CO	MM	SD	PP
Finance & Controlling	Materials Mgmt.	Sales & Distribution	Production Planning
✗	✗	✗	✗
No cross-team view	No cross-team view	No cross-team view	No cross-team view

→

After · Value Stream ARTs

Order-to-Cash
SD · FI · AR
Functional Consultant + Developer + Finance Owner

Procure-to-Pay
MM · FI · Vendor Mgmt
Functional Consultant + Developer + Procurement Lead

Central Finance
FI · CO · ACDOCA
Functional Consultant + Developer + Finance Controller

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Value Streams based backlog

EPIC | CAPABILITY | FEATURE

Epic → Capability → Feature

Order-to-Cash

EPIC: Customer Revenue in S/4HANA

Capability 1: Order Management

- Sales order creation & pricing in SD
- ATP check & delivery scheduling
- Credit management & customer master
- Fiori order tracking for sales teams

Capability 2: Billing & AR Settlement

- Invoice output & billing document config
- Dunning & collections management
- Cash application & bank reconciliation
- Revenue recognition per IFRS 15

Capability 3: CRM & Customer Data

- Customer master data migration
- Pricing conditions & output determination
- Fiori dashboards for sales & finance

Procure-to-Pay

EPIC: End-to-End S/4HANA Procurement

Capability 1: PR to Purchase Order

- Automated PR creation & approval workflow
- PO release strategy & output config
- Supplier master data migration & cleanse
- Source assignment & contract determination

Capability 2: Invoice Verification & Payment

- 3-way match config (PO / GR / IR)
- Tolerance keys & exception handling
- Automatic payment run & bank integration
- Fiori apps for AP processing

Capability 3: Compliance & Reporting

- SAP Ariba integration for e-procurement
- Spend analytics & SRM reporting
- Audit trail per Sprint delivery increment

Central Finance

EPIC: Single Financial Truth in S/4HANA

Capability 1: Financial Data Consolidation

- Real-time replication from source systems
- Universal Journal (ACDOCA) mapping
- Intercompany eliminations config
- Multi-GAAP parallel accounting

Capability 2: Planning & Fast Close

- Group reporting & legal consolidation
- Integrated Business Planning (IBP) link
- Fast close enablement via automation
- Profit centre & cost centre realignment

Capability 3: Treasury & Risk Management

- Cash position & liquidity forecasting
- Hedge accounting & FX exposure
- SAP Fiori treasury dashboard

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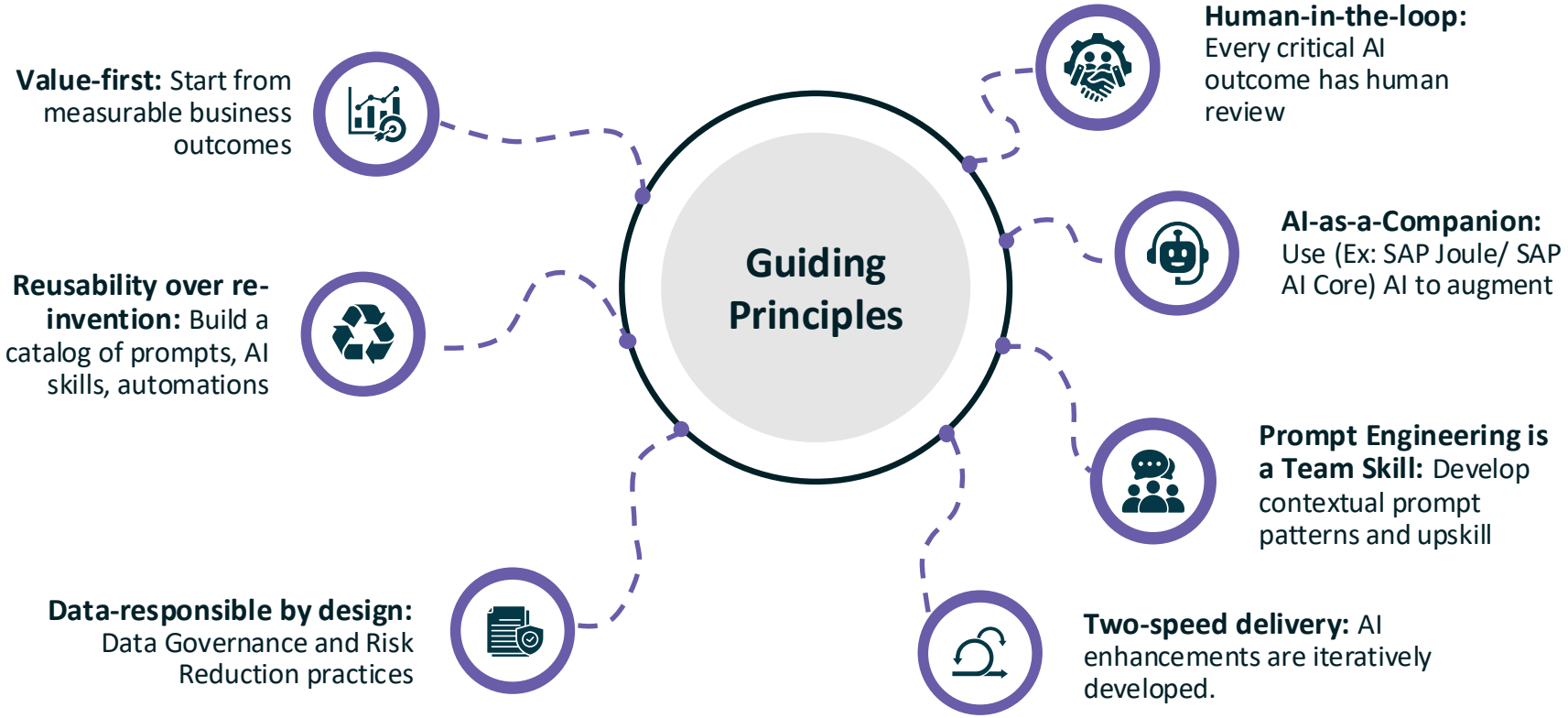
AI as a Strategic Enabler



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Business Benefits

3-6%
Revenue Growth

PI Cadence
Predictability

10%
Employee Satisfaction

25%
Productivity

PI 2+
Time to Market

3-5%
Total Cost of Ownership

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Key Takeaways

Demystify S/4HANA Migration

Moving to S/4HANA is a complete transformation of People, Processes, and Technology—not a mere technical migration.

Shift Left with Discovery

Holistic Hybrid Transformation Approach enables organizations to become more predictable with their S/4HANA migration through upfront preparation.

Organize around Value Stream

Pivot from module-based silos (FI/CO, MM, SD) to Value Stream-based ARTs (P2P, O2C, CFIN).

Govern with Data

Replace subjective sign-off documents with objective evidence from System Demos and measurable outcomes.

Augment with AI

Leverage AI-Native Mindset and Gen AI to shrink the "Explore" phase by 40%.

Think Incremental

Move toward PI-based incremental releases to mitigate "Big Bang" risk and deliver continuous value.

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